

Clark County, Arkansas

Regulatory Basis Financial Statements and Other Reports

December 31, 2014

LEGISLATIVE JOINT AUDITING COMMITTEE



CLARK COUNTY, ARKANSAS
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Arkansas

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Sen. Linda Chesterfield
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Roger A. Norman, JD, CPA, CFE, CFF
Legislative Auditor

LEGISLATIVE JOINT AUDITING COMMITTEE ARKANSAS LEGISLATIVE AUDIT

INDEPENDENT AUDITOR'S REPORT

Clark County, Arkansas Officials and Quorum Court Members
Legislative Joint Auditing Committee

Report on the Financial Statements

We have audited the accompanying regulatory basis financial statements of the general fund, road fund, and other funds in the aggregate of Clark County, Arkansas, as of and for the year ended December 31, 2014, as listed in the table of contents, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with the financial reporting provisions of Ark. Code Ann. § 10-4-412, as described in Note 1, to meet the requirements permitted by the State of Arkansas; this includes determining that the regulatory basis of accounting is an acceptable basis for the preparation of the financial statements in the circumstances. Management is also responsible for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal controls. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Basis for Adverse Opinion on U.S. Generally Accepted Accounting Principles

As described in Note 1 of the financial statements, the financial statements are prepared by the County on the basis of the financial reporting provisions of Ark. Code Ann. § 10-4-412, which is a basis of accounting other than accounting principles generally accepted in the United States of America, to meet the requirements permitted by the State of Arkansas.

The effects on the financial statements of the variances between the regulatory basis of accounting described in Note 1 and accounting principles generally accepted in the United States of America, although not reasonably determinable, are presumed to be material.

Adverse Opinion on U.S. Generally Accepted Accounting Principles

In our opinion, because of the significance of the matter discussed in the "Basis for Adverse Opinion on U.S. Generally Accepted Accounting Principles" paragraph, the financial statements referred to above do not present fairly, in accordance with accounting principles generally accepted in the United States of America, the financial position of Clark County, Arkansas, as of December 31, 2014, or the revenues, expenditures, and changes in net position and where applicable, cash flows, thereof for the year then ended.

Basis for Qualified Opinions on Regulatory Basis of Accounting

The County's financial statements do not disclose all the required information concerning deposit risks. In our opinion, disclosure of this information is required by the regulatory basis of accounting described in Note 1.

Qualified Opinions on Regulatory Basis of Accounting

In our opinion, except for the omission of the information described in the "Basis for Qualified Opinions on Regulatory Basis of Accounting" paragraph, the financial statements referred to above present fairly, in all material respects, the regulatory basis financial position of the general fund, road fund, and other funds in the aggregate of Clark County, Arkansas, as of December 31, 2014, and the regulatory basis revenues, expenditures, and changes in net position, and the budgetary comparisons for the general fund and road fund for the year then ended in accordance with the financial reporting provisions of the Ark. Code Ann. § 10-4-412 described in Note 1.

Supplementary and Other Information

Our audit was conducted for the purpose of forming opinions on the accompanying regulatory basis financial statements. The accompanying supplementary information and other information listed in the table of contents are presented for purposes of additional analysis and are not a required part of the financial statements.

The supplementary information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. Such information has been subjected to the auditing procedures applied in the audit of the regulatory basis financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, except for the omission of the information described above, the supplementary information is fairly stated, in all material respects, in relation to the regulatory basis financial statements as a whole on the basis of accounting described in Note 1.

The other information has not been subjected to the auditing procedures applied in the audit of the regulatory basis financial statements, and accordingly, we do not express an opinion or provide any assurance on it.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated April 27, 2016, on our consideration of the County's internal control over financial reporting and on our tests of its compliance with certain provisions of the state constitution, laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the County's internal control over financial reporting and compliance.

ARKANSAS LEGISLATIVE AUDIT



Roger A. Norman, JD, CPA, CFE
Legislative Auditor

Little Rock, Arkansas
April 27, 2016
LOCO01014

Arkansas

Sen. Jimmy Hickey, Jr.
Senate Chair
Sen. Linda Chesterfield
Senate Vice Chair



Rep. Mary Broadaway
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Rep. Sue Scott
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Roger A. Norman, JD, CPA, CFE, CFF
Legislative Auditor

LEGISLATIVE JOINT AUDITING COMMITTEE ARKANSAS LEGISLATIVE AUDIT

REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING, COMPLIANCE AND OTHER MATTERS,
AND OTHER ISSUES BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH
GOVERNMENT AUDITING STANDARDS

INDEPENDENT AUDITOR'S REPORT

Clark County, Arkansas Officials and Quorum Court Members
Legislative Joint Auditing Committee

We have audited in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, the accompanying regulatory basis financial statements of the general fund, road fund, and other funds in the aggregate of Clark County, Arkansas, as of and for the year ended December 31, 2014, and the related notes to the financial statements, and have issued our report thereon dated April 27, 2016. We issued an adverse opinion because the financial statements are prepared by the County on the basis of the financial reporting provisions of Ark. Code Ann. § 10-4-412, which is a basis of accounting other than accounting principles generally accepted in the United States of America. The effects on the financial statements of the variances between the regulatory basis of accounting described in Note 1 and accounting principles generally accepted in the United States of America, although not reasonably determinable, are presumed to be material. However, with respect to the regulatory basis of accounting described in Note 1, our opinions on the general fund, road fund, and other funds in the aggregate were qualified because required disclosures were not made concerning deposit risks.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the County's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the County's internal control. Accordingly, we do not express an opinion on the effectiveness of the County's internal control.

Our consideration of internal control was for the limited purpose described in the preceding paragraph and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that were not identified. However, as discussed below, we identified certain deficiencies in internal control that we consider to be material weaknesses.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A *material weakness* is a deficiency, or combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the County's financial statements will not be prevented, or detected and corrected on a timely basis. We consider the following deficiencies to be material weaknesses:

2014-1 To ensure the proper safeguarding of assets, financial accounting duties relating to initiating, receipting, depositing, disbursing, and recording transactions should be distributed among appropriate employees. The County officials, as specified in the Other Issues section of this report, did not segregate these duties to sufficiently reduce the risks of fraud or error and properly safeguard the County's assets, because of limited financial resources. We recommend that the financial accounting duties in each office be segregated among employees to the extent possible.

The County officials, as specified in the Other Issues section of this report, responded and indicated that their offices will segregate the duties relating to initiating, receipting, depositing, disbursing, and recording transactions to the extent possible with the current staffing levels.

2014-2 Arkansas Code requires county management to maintain financial records. The financial records contained omission/errors that are considered material, as enumerated below:

Other Funds in the Aggregate financial records contained misstatements for assets, liabilities, revenues, expenditures, and other financing sources of \$77,583, \$199,220, \$1,374,719, \$12,140, and \$127,818, respectively. The omissions and misstatements are primarily due to cash balance errors, omitted accounts receivable, and revenue classification errors.

2014-2 (Continued)

The effect of these omissions and misstatements constitutes a significant control deficiency in the process of preparing financial records. County management should implement procedures to ensure that financial records are properly prepared.

The Treasurer concurred with the above recommendation and approved the appropriate entries to the County's financial records.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the County's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of the state constitution, laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed an instance of noncompliance or other matters that is required to be reported under *Government Auditing Standards* and which is described in the Internal Control over Financial Reporting section as item 2014-2.

Entity's Response to Findings

The County's response to the findings identified in our audit is described above. The County's response was not subjected to the auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on it.

Other Issues

The following issues are not significant deficiencies, material weaknesses, or material instances of noncompliance, but are issues that are presented to assist in the efficient operation of the County.

The commentary contained in this section relates to the following officials that held office during 2014:

County Judge: Ron Daniell
Treasurer: Judy Beth Hutcherson
Sheriff and Tax Collector: Jason Watson
County Clerk: Ronda Cole
Circuit Clerk: Martha Smith
Assessor: Kasey Summerville
County Librarian: Judy Golden

Our audit procedures indicated that the offices of **County Judge, Tax Collector, County Clerk, Circuit Clerk, Assessor, and County Librarian** were in substantial compliance with Arkansas fiscal and financial laws. Noncompliance with state law and accepted accounting practices was noted in the offices of **Treasurer** and **Sheriff**.

Sheriff

The Sheriff's office was not in substantial compliance with Ark. Code Ann. §§ 14-25-103, -107, -112, in that the Commissary account was not properly and promptly reconciled to the journal for receipts, disbursements, and ending balance, and all funds were not deposited intact. A similar finding was issued in the prior report.

The Sheriff's office did not keep a transaction card on each undercover officer and the undercover officer did not keep a log or file a report with the Sheriff's office monthly, as required by Ark. Code Ann. § 14-21-204.

The Sheriff's office issued a check for \$2,000 for the purchase of a mower from the Communication Facility and Equipment Fund, contrary to Ark. Code Ann. § 21-6-307. In addition, the vendor invoice did not have documented authorization or cancellation.

Clark County Ordinance no. 04-12 (December 13, 2004) established the rate of reimbursement due from municipalities for the cost of housing inmates (e.g., food, medical, etc.) in the County Detention Center. Ark. Code Ann. § 12-41-506 provides that each sheriff bill each municipality for costs associated with housing prisoners and remit these fees to the county treasurer. Our testing of billing and reimbursements relating to inmates the County housed for the City of Arkadelphia indicated the Sheriff's office was not charging or billing for all City inmates; was not preparing the bills (invoices) correctly (i.e., total days, total meals, and invoice totals were inaccurate); and was not billing the City monthly, in noncompliance with Arkansas Code and County ordinance. The improper billing practices could result in the loss of revenue to the County.

We noted the following Information System weakness during our review of computers:

Sheriff

There again was no formally documented and approved Disaster Recovery Plan. This situation could cause the entity to be without computer processing for an extended period of time in the event of a disaster or major interruption and could place undue financial and personnel burdens on the resources of the entity.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the result of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with Government Auditing Standards in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose. However, pursuant to Ark. Code Ann. § 10-4-417, all reports presented to the Legislative Joint Auditing Committee are matters of public record and distribution is not limited.

ARKANSAS LEGISLATIVE AUDIT

A handwritten signature in black ink that reads "Marti Steel". The signature is written in a cursive, flowing style.

Marti Steel, CPA
Deputy Legislative Auditor

Little Rock, Arkansas
April 27, 2016

CLARK COUNTY, ARKANSAS
BALANCE SHEET - REGULATORY BASIS
DECEMBER 31, 2014

Exhibit A

	General	Road	Other Funds in the Aggregate
ASSETS			
Cash and cash equivalents	\$ 3,021,186	\$ 4,254,735	\$ 3,773,491
Accounts receivable	564,412	145,606	246,049
	<u>564,412</u>	<u>145,606</u>	<u>246,049</u>
TOTAL ASSETS	<u>\$ 3,585,598</u>	<u>\$ 4,400,341</u>	<u>\$ 4,019,540</u>
LIABILITIES AND FUND BALANCES			
Liabilities:			
Accounts payable	\$ 60,432	\$ 70,032	\$ 186,912
Settlements pending	535		964,061
Total Liabilities	<u>60,967</u>	<u>70,032</u>	<u>1,150,973</u>
Fund Balances:			
Restricted	58,922	4,330,309	2,122,989
Committed	325,109		719,782
Assigned	923,295		25,796
Unassigned	2,217,305		
Total Fund Balances	<u>3,524,631</u>	<u>4,330,309</u>	<u>2,868,567</u>
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 3,585,598</u>	<u>\$ 4,400,341</u>	<u>\$ 4,019,540</u>

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2014

Exhibit B

	General	Road	Other Funds in the Aggregate
REVENUES			
State aid	\$ 632,865	\$ 1,458,535	\$ 182,902
Federal aid	46,238	162	1,228,040
Property taxes	873,054	199,041	481,815
Sales taxes	1,612,443	1,429,901	1,521,172
Fines, forfeitures, and costs	381,991		179,182
Interest	16,404	22,910	15,407
Officers' fees	38,909		111,212
Prisoner care	50,683		
Sanitation fees	394,460		
911 surcharges			297,306
Treasurer's commission	122,249		20,190
Collector's commission	154,027		50,766
Taxes apportioned - Assessor's salary and expense	304,124		
Other	501,279	76,022	80,019
TOTAL REVENUES	5,128,726	3,186,571	4,168,011
Less: Treasurer's commission	52,410	43,907	15,336
NET REVENUES	5,076,316	3,142,664	4,152,675
EXPENDITURES			
Current:			
General government	1,611,973		185,945
Law enforcement	2,199,833		423,186
Highways and streets		2,393,942	
Public safety	72,076		473,080
Sanitation	641,847		
Health	89,316		
Recreation and culture	33,623		279,882
Social services	71,842		
Rural water			157,606
Industrial development			1,070,433
Total Current	4,720,510	2,393,942	2,590,132
Debt Service:			
Note principal	15,229		
Note interest	398		
TOTAL EXPENDITURES	4,736,137	2,393,942	2,590,132

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2014

Exhibit B

	General	Road	Other Funds in the Aggregate
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	<u>\$ 340,179</u>	<u>\$ 748,722</u>	<u>\$ 1,562,543</u>
OTHER FINANCING SOURCES (USES)			
Sales taxes remitted to Economic Development Corporation			<u>(1,521,172)</u>
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	340,179	748,722	41,371
FUND BALANCES - JANUARY 1	<u>3,184,452</u>	<u>3,581,587</u>	<u>2,827,196</u>
FUND BALANCES - DECEMBER 31	<u><u>\$ 3,524,631</u></u>	<u><u>\$ 4,330,309</u></u>	<u><u>\$ 2,868,567</u></u>

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES -
BUDGET AND ACTUAL - GENERAL AND ROAD FUNDS - REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2014

Exhibit C

	General			Road		
	Budget	Actual	Variance Favorable (Unfavorable)	Budget	Actual	Variance Favorable (Unfavorable)
REVENUES						
State aid	\$ 693,884	\$ 632,865	\$ (61,019)	\$ 1,280,000	\$ 1,458,535	\$ 178,535
Federal aid	43,000	46,238	3,238	300	162	(138)
Property taxes	719,250	873,054	153,804	161,000	199,041	38,041
Sales taxes	1,525,000	1,612,443	87,443	1,400,000	1,429,901	29,901
Fines, forfeitures, and costs	350,050	381,991	31,941			
Interest	8,500	16,404	7,904	30,000	22,910	(7,090)
Officers' fees	25,550	38,909	13,359			
Prisoner care	100,000	50,683	(49,317)			
Sanitation fees	375,000	394,460	19,460			
Treasurer's commission	130,000	122,249	(7,751)			
Collector's commission	160,000	154,027	(5,973)			
Taxes apportioned - Assessor's salary and expense	280,000	304,124	24,124			
Other	412,716	501,279	88,563	86,500	76,022	(10,478)
TOTAL REVENUES	4,822,950	5,128,726	305,776	2,957,800	3,186,571	228,771
Less: Treasurer's commission		52,410	(52,410)		43,907	(43,907)
NET REVENUES	4,822,950	5,076,316	253,366	2,957,800	3,142,664	184,864
EXPENDITURES						
Current:						
General government	1,743,224	1,611,973	131,251			
Law enforcement	2,381,285	2,199,833	181,452			
Highways and streets				4,164,541	2,393,942	1,770,599
Public safety	85,288	72,076	13,212			
Sanitation	843,740	641,847	201,893			
Health	91,025	89,316	1,709			
Recreation and culture	34,835	33,623	1,212			
Social services	113,253	71,842	41,411			
Total Current	5,292,650	4,720,510	572,140	4,164,541	2,393,942	1,770,599
Debt Service:						
Note principal		15,229	(15,229)			
Note interest		398	(398)			
TOTAL EXPENDITURES	5,292,650	4,736,137	556,513	4,164,541	2,393,942	1,770,599
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	(469,700)	340,179	809,879	(1,206,741)	748,722	1,955,463
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	(469,700)	340,179	809,879	(1,206,741)	748,722	1,955,463
FUND BALANCES - JANUARY 1	1,900,000	3,184,452	1,284,452	3,000,000	3,581,587	581,587
FUND BALANCES - DECEMBER 31	\$ 1,430,300	\$ 3,524,631	\$ 2,094,331	\$ 1,793,259	\$ 4,330,309	\$ 2,537,050

The accompanying notes are an integral part of these financial statements.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2014

NOTE 1: Summary of Significant Accounting Policies

A. Financial Reporting Entity

The County is a political subdivision of the state governed by an elected quorum court. The reporting entity includes all the funds of the County.

B. Basis of Presentation - Regulatory Fund Accounting

The financial statements are presented in accordance with the regulatory basis of presentation as prescribed or permitted by Ark. Code Ann. § 10-4-412. The law requires that the financial statements be presented on a fund basis with, as a minimum, the general fund and road fund presented separately with all other funds included in the financial statements presented in the aggregate. This law also stipulates that the financial statements consist of a balance sheet; a statement of revenues, expenditures, and changes in fund balances; a comparison of the final adopted budget to actual expenditures for the general and road funds; notes to financial statements; and a supplemental schedule of capital assets.

A fund is defined as a fiscal and accounting entity with a self-balancing set of accounts recording cash and other financial resources, together with related liabilities and residual balances, and changes therein, which are segregated for purposes of carrying on specific activities or attaining certain objectives in accordance with special regulations, restrictions, or limitations.

The following types of funds are recognized in the accompanying regulatory basis financial statements.

General Fund - The General Fund is used to account for and report all financial resources not accounted for and reported in another fund. The General Fund heading as it appears in the financial statements includes the following accounts: General, Various Fire Departments, Courthouse Annex, Sanitation, and Drug Enforcement.

Road Fund - The Road Fund (Special Revenue Fund) is used to account for and report the proceeds of specific revenue sources that are restricted or committed to expenditure for specified purposes other than debt service or capital projects. The Road Fund accounts for and reports proceeds of state highway turnback, property taxes, and sales taxes that are restricted or committed for maintaining and constructing roads.

Other Funds in the Aggregate - Other Funds in the Aggregate consist of all funds included in the financial statements except for the General and Road Funds. The following types of funds are included in this column as follows:

Special Revenue Funds - Special Revenue Funds are used to account for and report the proceeds of specific revenue sources that are restricted or committed to expenditure for specified purposes other than debt service or capital projects. The following Special Revenue Funds are reported with other funds in the aggregate: Treasurer's Automation, Collector's Automation, Circuit Court Automation, District Court Automation, Assessor's Amendment no. 79, County Clerk's Cost, County Recorder's Cost, County Public Library, Support Collection Cost, Breathalyzer, District Court Jail Fee, Boating Safety, CMRS 911 Board (Commercial Mobile Radio Service), Victim/Witness, Public Defender, Drug Court, Juvenile Probation, Voting System Grant, Circuit Clerk Commissioner's Fee, Clark County Marina, District Court Cost, Jail Maintenance, Juvenile Work Supervision, Economic Development Corporation of Clark County (EDCCC), Office of Emergency Services, Antoine Hardwoods, Public Safety, Alpine Fire Department, Beirne Fire Department, Curtis Fire Department, DeGray Fire Department, East Clark County Fire Department, Hollywood Fire Department, Kansas Fire Department, Hillstern Farms Grant, Gum Springs Water Grant, Automated Records Systems Grant, Caddo Valley Fire Department, Treasurer's Commissary, Fire Equipment Training, Clark County SWAT Grant, and Communication Facility and Equipment.

Capital Projects Funds - Capital Projects Funds are used to account for and report financial resources that are restricted, committed, or assigned to expenditure for capital outlay, including the acquisition or construction of capital facilities and other capital assets. The Capital Projects Fund, Jail Construction, is reported with other funds in the aggregate.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2014

NOTE 1: Summary of Significant Accounting Policies (Continued)

B. Basis of Presentation - Regulatory Fund Accounting (Continued)

Other Funds in the Aggregate (Continued)

Agency Funds - Agency Funds are used to report resources held by the reporting government in a purely custodial capacity (assets equal liabilities). The following Agency Funds are reported with other funds in the aggregate: Funds held by the County Treasurer – Treasurer's Commission, Collector's Commission, Common Schools, Law Library, Okolona School District, Improvement Tax, City of Whelen Springs - General, City of Whelen Springs - Street; Tax Collector – Current Tax and Delinquent Tax; Sheriff – Bond and Fine, Fees, Circuit Bond, and Commissary; County Clerk – Trust; Circuit Clerk – Fee and Trust; and County Judge – Sanitation.

C. Basis of Accounting

The financial statements are prepared on the regulatory basis of accounting as prescribed or permitted by Ark. Code Ann. § 10-4-412. This regulatory basis differs from accounting principles generally accepted in the United States of America. Revenues generally are recognized as soon as they are both measurable and available except for Treasurer's and Collector's commission and Taxes apportioned – Assessor's salary and expense which are recognized when earned. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days of the end of the current period. However, most state aid received from the State Treasury is by state law revenue of the year in which it was received by the government. Expenditures generally are recorded when a liability is incurred. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due. As a result of the use of this regulatory basis of accounting, capital assets and long-term debt are not recorded in these financial statements.

D. Assets, Liabilities, and Fund Balances

Cash and Cash Equivalents

For the purpose of financial reporting, "cash and cash equivalents" includes all demand and savings accounts, and certificates of deposit.

Settlements Pending

Settlements pending are considered property taxes, fines, forfeitures, costs, fees, commissions, and trust funds that have not been transferred to the appropriate entities.

Fund Balance Classifications

1. Restricted fund balance – amounts that are restricted when constraints placed on the use of resources are either (a) externally imposed by creditors (such as through debt covenants), grantors, contributors, or laws or regulations of other governments; or (b) imposed by law through constitutional provisions or enabling legislation.
2. Committed fund balance – amounts that can only be used for specific purposes pursuant to constraints imposed by formal action of the Quorum Court.
3. Assigned fund balance – amounts that are constrained by the Quorum Court's intent to be used for specific purposes, but are neither restricted nor committed.
4. Unassigned fund balance – amounts that have not been assigned to other funds and that have not been restricted, committed, or assigned to specific purposes within the general fund. This classification may also include negative amounts in other governmental funds, if expenditures incurred for specific purposes exceeded the amounts restricted, committed, or assigned to those purposes.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2014

NOTE 1: Summary of Significant Accounting Policies (Continued)

E. Property Taxes

A lien attaches to the real property in January and on personal property in June of each year. Property taxes are collectible beginning the first business day of March of the subsequent year, but are not considered delinquent until after October 15.

F. Budget Law

1. Legal Requirements

State law requires that the Quorum Court, before the end of each fiscal year, make appropriations, by ordinance, for the expenditures of County government for the following year. The Quorum Court may make appropriation amendments at any time during the current fiscal year. Appropriations lapse at the end of each year. Under certain conditions, the budget may be amended subsequent to the year-end.

2. Accounting

The County prepared an annual budget on the regulatory basis for the General Fund, Road Fund, and the other operating funds except for the Clark County SWAT Grant.

G. Fund Balance Classification Policies and Procedures

The County's highest level of decision-making authority is its Quorum Court. The establishment of amounts classified as committed fund balances and any subsequent modifications to such balances are the result of formal action taken by the Quorum Court through passage of an ordinance. The Quorum Court is authorized to assign amounts to a specific purpose, although a formal policy has not been established.

The County does not have a policy addressing whether it considers restricted or unrestricted amounts to have been spent when an expenditure is incurred for purposes for which both restricted and unrestricted amounts are available. For classification of fund balance amounts, restricted resources are considered spent before unrestricted. The County does not have a policy addressing which resources to use within the unrestricted fund balance when committed, assigned, or unassigned fund balances are available. When expenditures are incurred for purposes for which amounts in any of the unrestricted fund balance classifications could be used, committed amounts are reduced first, followed by assigned amounts, and then unassigned amounts.

NOTE 2: Cash

Deposit risks related to credit risk, concentration of credit risk, interest rate risk, and foreign currency risk have not been provided as required by Governmental Accounting Standards Board Statement no. 40.

NOTE 3: Legal or Contractual Provisions for Deposits and Investments

State law generally requires that county funds be deposited in federally insured banks located in the State of Arkansas. The county deposits may be in the form of checking accounts, savings accounts, and time deposits. Public funds may be invested in eligible investment securities having a maturity of not longer than 5 years from the date of acquisition unless, as documented at the time of acquisition, the investment is to fund or support a specific purpose and there are no expectations that the investment will be sold before maturity; an Arkansas bank certificate of deposit; an account established by a local government joint investment trust; or an Arkansas financial institution repurchase agreement for eligible investment securities in which the seller agrees to repurchase the investment at a price including interest earned during the holding period as determined by the repurchase agreement.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2014

NOTE 4: Accounts Receivable

The accounts receivable balance at December 31, 2014, is composed of the following:

Description	General Fund	Road Fund	Other Funds in the Aggregate
State aid			\$ 11,713
Property taxes	\$ 35,346	\$ 7,037	17,020
Sales taxes	135,487	120,149	127,818
Fines, forfeitures, and costs	26,851		9,374
Officers' fees	2,414		8,744
Sanitation fees	45,397		
Prisoner care	5,498		4,386
911 surcharges			3,581
Treasurer's commission	122,249		3,633
Collector's commission	154,027		50,766
Other	34,316	18,420	9,014
Transfers in	2,827		
Totals	<u>\$ 564,412</u>	<u>\$ 145,606</u>	<u>\$ 246,049</u>

NOTE 5: Accounts Payable

The accounts payable balance at December 31, 2014, is composed of the following:

Description	General Fund	Road Fund	Other Funds in the Aggregate
Vendor payables	<u>\$ 60,432</u>	<u>\$ 70,032</u>	<u>\$ 186,912</u>

NOTE 6: Legal Debt Limit

A. Property Tax Secured Bonded Debt

The County is subject to a constitutional limitation for bonded indebtedness equal to 10% of the total assessed value for tax purposes of real and personal property as determined by the last tax assessment. At December 31, 2014, the legal debt limit for bonded debt was \$25,120,900. There were no property tax secured bond issues.

B. Short-term Financing Obligations

The County is subject to a constitutional limitation for short-term financing obligations equal to 2.5% of the assessed value of taxable property within the County as determined by the last tax assessment. At December 31, 2014, the legal debt limit for short-term financing obligations was \$7,077,310. There were no short-term financing obligations.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2014

NOTE 7: Details of Fund Balance Classifications

Fund balance classifications at December 31, 2014, are composed of the following:

Description	General Fund	Road Fund	Other Funds in the Aggregate
Restricted for:			
General government	\$ 15,474		\$ 420,126
Law enforcement	2,502		603,412
Highways and streets		\$ 4,330,309	
Public safety	2,735		786,937
Recreation and culture	1,211		312,514
Social services	37,000		
Total Restricted	<u>58,922</u>	<u>4,330,309</u>	<u>2,122,989</u>
Committed for:			
General government	325,109		
Law enforcement			247,650
Capital projects			472,132
Total Committed	<u>325,109</u>		<u>719,782</u>
Assigned to:			
Law enforcement			7,191
Sanitation	923,295		
Recreation and culture			18,605
Total Assigned	<u>923,295</u>		<u>25,796</u>
Unassigned	<u>2,217,305</u>		
Totals	<u>\$ 3,524,631</u>	<u>\$ 4,330,309</u>	<u>\$ 2,868,567</u>

NOTE 8: Commitments

Total commitments consist of the following at December 31, 2014:

	December 31, 2014
Long-term liabilities	\$ 472,863
Reappraisal contract	164,202
Total Commitments	<u>\$ 637,065</u>

Long-term Liabilities

Long-term liabilities at December 31, 2014, are comprised of the following:

	December 31, 2014
Landfill closure and post closure care costs	\$ 450,329
Compensated absences	22,534
Total Long-term liabilities	<u>\$ 472,863</u>

Due to the County's regulatory basis of accounting, these liabilities are not recorded in the financial statements.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2014

NOTE 8: Commitments (Continued)

Landfill Closure and Postclosure Care Cost

Clark County is the owner of permit #044-S4 to operate a Class IV solid waste landfill. State and federal regulations require a final cover to be placed on the landfill site when the County stops accepting waste and to perform certain maintenance and monitoring functions at the site for two years after closure. The County stopped accepting waste in March 31, 2015, and has not begun the final closure and postclosure functions. Although closure and postclosure care costs will be paid only near or after the date the landfill stops accepting waste, a portion of these closure and postclosure care costs are being recognized as a commitment each year based on landfill capacity used as of the balance sheet date. The County is currently applying for permits to expand the landfill for further use. The estimated commitment for the landfill closure and postclosure care costs has a balance of \$450,329 as of December 31, 2014, and represents the cumulative amount reported to date based on 100% usage of the landfill.

Estimated costs are based on the amount that would be paid if all equipment, facilities and services required to close, monitor, and maintain the landfill were acquired as of December 31, 2014. However, the actual cost of closure and postclosure may be higher due to inflation, changes in technology or changes in landfill laws and regulations.

The County has provided financial assurance for the closure and postclosure care costs with an irrevocable letter of credit from Southern Bancorp Bank of Arkansas, dated May 23, 2014, in the amount of \$204,364 and, in accordance Ark. Code Ann. § 8-6-1603, the County has provided financial assurance of \$191,959 in the form of a Contract of Obligation dated May 14, 2014. This Contract of Obligation authorizes the State Treasurer to withhold from any funds being distributed from the State of Arkansas to Clark County the sum of \$191,959 upon receiving notice from the Director of the Arkansas Department of Environmental Quality of Clark County's failure to properly disclose operation.

Post Employment Benefits Other Than Pensions

The amount of any actuarially determined accrued liability for post employment benefits other than pensions was not determined.

Reappraisal Contract

The County entered into a contract dated January 4, 2011, with Total Assessment Solutions Corporation for reappraisal services. The terms of the contract require \$821,008 to be paid in 60 monthly installments of \$13,684 beginning January 15, 2011. Contract expense for 2014 was \$164,201. The County is obligated for \$164,202 in 2015.

NOTE 9: Related Party Transactions

The County paid Southwest Probation Services \$34,672 for probation services in 2014. Sheriff's part-time deputy, Chance Leamons, owns Southwest Probation Services. On September 9, 2013, the County established Clark County Ordinance no. 2013-08 authorizing payment of services to Southwest Probation Services.

The County paid Clark County District Court Judge Randy Hill \$8,800 to rent office space for the Public Defender in 2014. On October 15, 2013, the County established Clark County Ordinance no. 2013-10 authorizing a lease agreement between the Public Defender and Clark County District Court Judge Randy Hill.

NOTE 10: Jointly Governed Organizations

A. Reuse Committee

The City of Arkadelphia and Clark County were co-recipients of a \$750,000 grant under the 1983 Arkansas State Stimulus Program. The funds were used as a loan to an industry – Exchange Parts of Arkansas. Exchange Parts of America, Inc., a/k/a Exchange Parts of Arkansas Inc., filed for Chapter Eleven Bankruptcy in 1991 listing as an outstanding debt, a balance of \$478,383 of the original \$750,000 Job Stimulus Loan. The remaining balance of the original \$750,000 grant continues to be used to stimulate economic development within Clark County.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2014

NOTE 10: Jointly Governed Organizations (Continued)

A. Reuse Committee (Continued)

A joint committee was formed to oversee the activities associated with the use of these funds. The committee is composed of two members from the Clark County Quorum Court appointed by the County Judge and two members from the City of Arkadelphia Board of Directors appointed by the Mayor. The funds are held by the Arkadelphia City Treasurer and are disbursed upon the direction of the committee.

The principal and interest payments received by the Reuse Committee are used as outlined in Article V of the Reuse of Proceeds Plan to pay for administrative costs, as matching funds to secure other funds for economic development, to construct for resale or lease industrial facilities, and to provide loans to help finance industrial or commercial undertakings.

Annual written reports are to be submitted to the City of Arkadelphia Board of Directors, Clark County Quorum Court, and Arkansas Industrial Development Commission. The Planning and Economic Development Division is covering the Committee's activities with regards to these funds.

The financial statements of the Reuse Committee have not been audited but may be obtained at 700 Clay, Arkadelphia, AR 71923.

B. Group "6" Narcotics Enforcement Unit

The Prosecuting Attorneys of the Seventh and Ninth (East) Judicial Districts, the Sheriff's Departments of Clark, Grant, and Hot Spring Counties, and the Police Departments of Malvern, Sheridan, and Arkadelphia entered into an agreement to establish the Group "6" Narcotics Enforcement Unit. The agreement covers the period July 1, 2014 to June 30, 2015, and may be extended upon written mutual agreement. Funding was provided through federal and state grants in addition to contributions from the participating entities. The County made no contributions to or on behalf of the Group "6" Narcotics Enforcement Unit in 2014. Separate financial statements for the Group "6" Narcotics Enforcement Unit are not available.

C. Southwest Arkansas Regional Intermodal Authority

Clark, Montgomery, Pike, and Dallas Counties and the Cities of Gurdon, Prescott, Glenwood, Caddo Valley, Murfreesboro, Arkadelphia, Amity, and Fordyce entered into an agreement on May 18, 2010 to establish the Southwest Arkansas Regional Intermodal Authority pursuant to Ark. Code Ann. §§ 14-143-101 – 14-143-129. The Authority shall be governed by a board of directors consisting of 18 members appointed by the participants' Mayors and County Judges. Each participating City will receive one member and each County will receive two members. Annual dues are \$2,000 per county and \$1,000 per city based on \$1,000 for each board member. Dues are payable in January of each year. No payments were made by the County to the Southwest Regional Intermodal Authority other than the reduced annual membership dues of \$1,750. Separate financial statements for the Southwest Arkansas Regional Intermodal Authority are not available.

D. Southwest Central Regional Solid Waste Management District

Pursuant to Act 752 of the Acts of Arkansas of 1991, the Southwest Central Regional Solid Waste Management District and Board were organized to protect public health and environmental quality for its service area by establishing a regional solid waste management system in Arkansas Counties of Clark, Garland, and Hot Spring. The District's board of directors is composed in accordance with the requirements of the Act and is comprised of representatives of the counties in the District and representatives of all first class cities, of all cities with a population over 2,000, and of the largest city of each county in the District. The County made no contributions to or disbursements on behalf of the District in 2014. The District paid Clark County \$9,136 for landfill services in 2014. All financial transactions are between the District and the Hot Spring County Solid Waste Authority, Inc. Separate financial statements of the Southwest Central Regional Solid Waste Management District are available at 1000 Central Avenue, Hot Springs, AR, 71903.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2014

NOTE 11: Risk Management

The County is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; and natural disasters. These risks are covered by commercial insurance purchased from independent third parties and participation in a public entity risk pool. The amount of settlements, if any, has not exceeded the insurance coverage for each of the past three years. There were no significant reductions in insurance coverage in the major categories of risk from coverage in the prior year.

The County participates in the Association of Arkansas Counties Program (public entity risk pools) for coverage in the following area:

Workers' Compensation - This program provides statutory benefits for losses incurred by County officials, employees, and volunteer fire fighters while performing work for the County. Rates for counties participating in this program are revised annually based on the cost experience of the particular county or group as determined by the Workers' Compensation Commission.

The County participates in the Arkansas Public Entities Risk Management Association (APERMA) public entity risk pool for coverage in the following areas:

Building and Contents Program - This program is a blanket policy with coverage up to \$100,000,000 for any one loss with a \$500 deductible. The County shall pay into the program each year a charge established annually by the Risk Management Fund Board for covered county property.

Vehicle Program

- A. Liability - This program may pay all sums the County legally must pay as damages because of bodily injury, death, or property damage to which this agreement applies involving a covered county vehicle and for which the County is liable. The limit of payment for in-state claims is \$25,000 for bodily injury per person, \$50,000 for bodily injury per accident, and \$25,000 for property damage per accident (\$100,000 respectively for out-of-state claims). The County shall pay into the program each year a charge established annually by the Risk Management Fund Board for covered county vehicles owned or leased by the County.
- B. Physical Damage - This program covers vehicles and mobile equipment which are the property of the participating county. Property is valued at the cost to repair or replace the property after deduction for depreciation. Loss amounts will be reduced by the deductible amount of \$1,000 for Sheriff's Department vehicles and \$500 for all other covered vehicles and mobile equipment. The County agrees to pay into the program each year a service charge established annually by the Risk Management Fund Board for covered property.

General Liability Program - The program shall provide legal defense in civil rights suits against the county government of a participating county and pay judgments imposed on County officials and employees and the county government and county-formed boards and commissions. Coverage is limited to \$350,000 per case with an annual aggregate of \$350,000. The County shall pay into the program each year a charge established annually by the Risk Management Fund Board for this coverage.

The County also participates in the Self-Insured Fidelity Bond Program administered by the Governmental Bonding Board. This program covers actual losses sustained by the participating entity through any fraudulent or dishonest act or acts committed by any of the officials or employees, acting alone or in collusion with others, during the bond period to an amount not exceeding the lesser of \$250,000 or the amount of the bond. Premiums for coverage are determined by the State Risk Manager and approved by the Board. These premiums are paid by the State Treasurer from funds withheld from the County Aid Fund. There is a \$2,500 deductible per occurrence.

The County also participates in the Volunteers Insurance Service Association administered by CIMA Companies Inc. This program covers designated volunteers participating in volunteer projects through the County (Prisoner Work Release Program, Court Referred Alternative Sentencing Program, and Community Service Program) for accidental death and dismemberment coverage and accidental medical expense coverage. Coverage is limited to \$2,500 for accidental death and dismemberment and \$25,000 per case with a \$200 deductible per occurrence. These premiums are paid by the General Fund.

CLARK COUNTY, ARKANSAS
NOTES TO FINANCIAL STATEMENTS
DECEMBER 31, 2014

NOTE 12: Arkansas Public Employees Retirement System

Plan Description

The County contributes to the Arkansas Public Employees Retirement System (PERS), a cost-sharing multiple-employer defined benefit pension plan. PERS provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by State law and can be amended only by the Arkansas General Assembly. The Arkansas Public Employees Retirement System issues a publicly available financial report that includes financial statements and required supplementary information for PERS. That report may be obtained by writing to Arkansas Public Employees Retirement System, 124 W. Capitol, Suite 400, Little Rock, Arkansas 72201, by calling 1-800-682-7377, or on their website www.apers.org.

Funding Policy

PERS has contributory and non-contributory plans. Contributory members are required by code to contribute 5% of their salary. Each participating employer is required by code to contribute at a rate established by the Board of Trustees of the system based on the annual actuarial valuation. The County's contributions to the plan for the year ended December 31, 2014 were \$434,017.

NOTE 13: Economic Development Corporation of Clark County, Arkansas

The Economic Development Corporation of Clark County, Arkansas (EDCCC) was established as authorized by Ark. Code Ann. §§ 14-175-101 – 14-175-116. The EDCCC was incorporated as a nonprofit organization on September 11, 2007, for the purpose of securing and developing industry and fostering economic development. On June 12, 2007, a one-half cent sales and use tax was approved for a period of seven years to be used solely for economic development, and subsequently, on March 11, 2014, for an additional seven year period. Accordingly, Clark County remits to the EDCCC the revenues derived from this tax which totaled \$1,521,172 in 2014. An audit report of the EDCCC has not been provided.

CLARK COUNTY, ARKANSAS
 COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 DECEMBER 31, 2014

Schedule 1

	SPECIAL REVENUE FUNDS							
	Treasurer's Automation	Collector's Automation	Circuit Court Automation	District Court Automation	Assessor's Amendment no.79	County Clerk's Cost	County Recorder's Cost	County Public Library
ASSETS								
Cash	\$ 31,887	\$ 247,155	\$ 16,429	\$ 47,714	\$ 34,295	\$ 10,991	\$ 9,678	\$ 258,634
Accounts receivable	2,068	50,775	687	93	15	980	8,352	10,110
TOTAL ASSETS	\$ 33,955	\$ 297,930	\$ 17,116	\$ 47,807	\$ 34,310	\$ 11,971	\$ 18,030	\$ 268,744
LIABILITIES AND FUND BALANCES								
Liabilities:								
Accounts payable	\$ 51			\$ 13,077			\$ 1,148	\$ 2,210
Settlements pending								
Total Liabilities	51			13,077			1,148	2,210
Fund Balances:								
Restricted	33,904	\$ 297,930	\$ 17,116	34,730	\$ 34,310	\$ 11,971	16,882	247,929
Committed								
Assigned								18,605
Total Fund Balances	33,904	297,930	17,116	34,730	34,310	11,971	16,882	266,534
TOTAL LIABILITIES AND FUND BALANCES	\$ 33,955	\$ 297,930	\$ 17,116	\$ 47,807	\$ 34,310	\$ 11,971	\$ 18,030	\$ 268,744

CLARK COUNTY, ARKANSAS
 COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 DECEMBER 31, 2014

Schedule 1

SPECIAL REVENUE FUNDS

	Support Collection Cost	Breathalyzer	District Court Jail Fee	Boating Safety	CMRS 911 Board (Commercial Mobile Radio Service)	Victim/Witness	Public Defender	Drug Court
ASSETS								
Cash	\$ 10,181	\$ 10,684	\$ 116,109	\$ 30,836	\$ 721,941	\$ 27,059	\$ 291,149	\$ 7,555
Accounts receivable	56	119	4,834	14	4,898	4,320	2,629	364
TOTAL ASSETS	\$ 10,237	\$ 10,803	\$ 120,943	\$ 30,850	\$ 726,839	\$ 31,379	\$ 293,778	\$ 7,919
LIABILITIES AND FUND BALANCES								
Liabilities:								
Accounts payable			\$ 5,339		\$ 41		\$ 130	
Settlements pending								
Total Liabilities			<u>5,339</u>		<u>41</u>		<u>130</u>	
Fund Balances:								
Restricted	\$ 10,237	\$ 10,803	108,413	\$ 30,850	726,798	\$ 31,379	293,648	\$ 7,919
Committed								
Assigned			7,191					
Total Fund Balances	<u>10,237</u>	<u>10,803</u>	<u>115,604</u>	<u>30,850</u>	<u>726,798</u>	<u>31,379</u>	<u>293,648</u>	<u>7,919</u>
TOTAL LIABILITIES AND FUND BALANCES	\$ 10,237	\$ 10,803	\$ 120,943	\$ 30,850	\$ 726,839	\$ 31,379	\$ 293,778	\$ 7,919

CLARK COUNTY, ARKANSAS
 COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 DECEMBER 31, 2014

Schedule 1

	SPECIAL REVENUE FUNDS							Economic Development Corporation of Clark County
	Juvenile Probation	Voting System Grant	Circuit Clerk Commissioner's Fee	Clark County Marina	District Court Cost	Jail Maintenance	Juvenile Work Supervision	
ASSETS								
Cash	\$ 1,156	\$ 12	\$ 713	\$ 62,224	\$ 15,509	\$ 250,228	\$ 42,866	
Accounts receivable			4	2,361	1,868	10,098	2	\$ 127,818
TOTAL ASSETS	\$ 1,156	\$ 12	\$ 717	\$ 64,585	\$ 17,377	\$ 260,326	\$ 42,868	\$ 127,818
LIABILITIES AND FUND BALANCES								
Liabilities:								
Accounts payable	\$ 50				\$ 913	\$ 14,544	\$ 1,275	\$ 127,818
Settlements pending								
Total Liabilities	50				913	14,544	1,275	127,818
Fund Balances:								
Restricted	1,106	\$ 12	\$ 717	\$ 64,585	16,464		41,593	
Committed						245,782		
Assigned								
Total Fund Balances	1,106	12	717	64,585	16,464	245,782	41,593	
TOTAL LIABILITIES AND FUND BALANCES	\$ 1,156	\$ 12	\$ 717	\$ 64,585	\$ 17,377	\$ 260,326	\$ 42,868	\$ 127,818

CLARK COUNTY, ARKANSAS
COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
DECEMBER 31, 2014

Schedule 1

	SPECIAL REVENUE FUNDS								
	Office of Emergency Services	Antoine Hardwoods	Public Safety	Alpine Fire Department	Automated Records Systems Grant	Treasurer's Commissary	Fire Equipment Training	Clark County SWAT Grant	Communication Facility and Equipment
ASSETS									
Cash	\$ 30,776	\$ 1	\$ 421	\$ 5,309	\$ 32,888			\$ 1	\$ 22,897
Accounts receivable			3			\$ 1,868	\$ 11,713		
TOTAL ASSETS	<u>\$ 30,776</u>	<u>\$ 1</u>	<u>\$ 424</u>	<u>\$ 5,309</u>	<u>\$ 32,888</u>	<u>\$ 1,868</u>	<u>\$ 11,713</u>	<u>\$ 1</u>	<u>\$ 22,897</u>
LIABILITIES AND FUND BALANCES									
Liabilities:									
Accounts payable				\$ 1,591	\$ 18,725				
Settlements pending									
Total Liabilities				<u>1,591</u>	<u>18,725</u>				
Fund Balances:									
Restricted	\$ 30,776	\$ 1	\$ 424	3,718	14,163		\$ 11,713	\$ 1	\$ 22,897
Committed						\$ 1,868			
Assigned									
Total Fund Balances	<u>30,776</u>	<u>1</u>	<u>424</u>	<u>3,718</u>	<u>14,163</u>	<u>1,868</u>	<u>11,713</u>	<u>1</u>	<u>22,897</u>
TOTAL LIABILITIES AND FUND BALANCES	<u>\$ 30,776</u>	<u>\$ 1</u>	<u>\$ 424</u>	<u>\$ 5,309</u>	<u>\$ 32,888</u>	<u>\$ 1,868</u>	<u>\$ 11,713</u>	<u>\$ 1</u>	<u>\$ 22,897</u>

CLARK COUNTY, ARKANSAS
COMBINING BALANCE SHEET - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
DECEMBER 31, 2014

Schedule 1

	CAPITAL PROJECTS	AGENCY FUNDS						
	Jail Construction	Treasurer's Accounts	Collector's Accounts	Sheriff's Accounts	County Clerk's Accounts	Circuit Clerk's Accounts	County Judge's Account	Totals
ASSETS								
Cash	\$ 472,132	\$ 708,528	\$ 110,879	\$ 34,627	\$ 16,666	\$ 47,785	\$ 45,576	\$ 3,773,491
Accounts receivable								246,049
TOTAL ASSETS	\$ 472,132	\$ 708,528	\$ 110,879	\$ 34,627	\$ 16,666	\$ 47,785	\$ 45,576	\$ 4,019,540
LIABILITIES AND FUND BALANCES								
Liabilities:								
Accounts payable								\$ 186,912
Settlements pending		\$ 708,528	\$ 110,879	\$ 34,627	\$ 16,666	\$ 47,785	\$ 45,576	964,061
Total Liabilities		708,528	110,879	34,627	16,666	47,785	45,576	1,150,973
Fund Balances:								
Restricted								2,122,989
Committed	\$ 472,132							719,782
Assigned								25,796
Total Fund Balances	472,132							2,868,567
TOTAL LIABILITIES AND FUND BALANCES	\$ 472,132	\$ 708,528	\$ 110,879	\$ 34,627	\$ 16,666	\$ 47,785	\$ 45,576	\$ 4,019,540

CLARK COUNTY, ARKANSAS
 COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 FOR THE YEAR ENDED DECEMBER 31, 2014

Schedule 2

SPECIAL REVENUE FUNDS

	Treasurer's Automation	Collector's Automation	Circuit Court Automation	District Court Automation	Assessor's Amendment no.79	County Clerk's Cost	County Recorder's Cost	County Public Library
REVENUES								
State aid					\$ 2,321			\$ 31,936
Federal aid								
Property taxes								238,439
Sales taxes								
Fines, forfeitures, and costs			\$ 6,294	\$ 11,809				
Interest	\$ 156	\$ 1,474	100	250	200	\$ 75	\$ 124	1,241
Officers' fees						11,347	93,245	
911 surcharges								
Treasurer's commission	20,190							
Collector's commission		50,766						
Other	1						1,182	1,420
TOTAL REVENUES	20,347	52,240	6,394	12,059	2,521	11,422	94,551	273,036
Less: Treasurer's commission	1	21	89	222	36	160	1,329	3,734
NET REVENUES	20,346	52,219	6,305	11,837	2,485	11,262	93,222	269,302
EXPENDITURES								
Current:								
General government	13,730	18,648				16,856	101,417	
Law enforcement			8,865	15,698				
Public safety								
Recreation and culture								279,882
Rural water								
Industrial development								
TOTAL EXPENDITURES	13,730	18,648	8,865	15,698		16,856	101,417	279,882
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	6,616	33,571	(2,560)	(3,861)	2,485	(5,594)	(8,195)	(10,580)
OTHER FINANCING SOURCES (USES)								
Sales taxes remitted to Economic Development Corporation								
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	6,616	33,571	(2,560)	(3,861)	2,485	(5,594)	(8,195)	(10,580)
FUND BALANCES - JANUARY 1	27,288	264,359	19,676	38,591	31,825	17,565	25,077	277,114
FUND BALANCES - DECEMBER 31	\$ 33,904	\$ 297,930	\$ 17,116	\$ 34,730	\$ 34,310	\$ 11,971	\$ 16,882	\$ 266,534

CLARK COUNTY, ARKANSAS
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2014

Schedule 2

	SPECIAL REVENUE FUNDS							
	Support Collection Cost	Breathalyzer	District Court Jail Fee	Boating Safety	CMRS 911 Board (Commercial Mobile Radio Service)	Victim/Witness	Public Defender	Drug Court
REVENUES								
State aid				\$ 2,176		\$ 3,229	\$ 2,034	
Federal aid								
Property taxes								
Sales taxes								
Fines, forfeitures, and costs		\$ 1,204	\$ 64,271			44,449	27,832	\$ 2,680
Interest	\$ 59	64	735	178	\$ 4,335	141	1,678	51
Officers' fees	3,407							
911 surcharges					297,306			
Treasurer's commission								
Collector's commission								
Other			7,191		67	22		14
TOTAL REVENUES	3,466	1,268	72,197	2,354	301,708	47,841	31,544	2,745
Less: Treasurer's commission	48	18	1,067	33	3,138	610	410	34
NET REVENUES	3,418	1,250	71,130	2,321	298,570	47,231	31,134	2,711
EXPENDITURES								
Current:								
General government	1,190							
Law enforcement		1,556	101,960			40,566	20,070	3,253
Public safety				1,230	365,116			
Recreation and culture								
Rural water								
Industrial development								
TOTAL EXPENDITURES	1,190	1,556	101,960	1,230	365,116	40,566	20,070	3,253
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	2,228	(306)	(30,830)	1,091	(66,546)	6,665	11,064	(542)
OTHER FINANCING SOURCES (USES)								
Sales taxes remitted to Economic Development Corporation								
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	2,228	(306)	(30,830)	1,091	(66,546)	6,665	11,064	(542)
FUND BALANCES - JANUARY 1	8,009	11,109	146,434	29,759	793,344	24,714	282,584	8,461
FUND BALANCES - DECEMBER 31	\$ 10,237	\$ 10,803	\$ 115,604	\$ 30,850	\$ 726,798	\$ 31,379	\$ 293,648	\$ 7,919

CLARK COUNTY, ARKANSAS
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2014

Schedule 2

	SPECIAL REVENUE FUNDS							Economic Development Corporation of Clark County (EDCCC)
	Juvenile Probation	Voting System Grant	Circuit Clerk Commissioner's Fee	Clark County Marina	District Court Cost	Jail Maintenance	Juvenile Work Supervision	
REVENUES								
State aid		\$ 15,379				\$ 31,936		
Federal aid								
Property taxes						243,376		
Sales taxes								\$ 1,521,172
Fines, forfeitures, and costs					\$ 20,230			
Interest	\$ 9	12	\$ 2	\$ 310	86	999	\$ 280	
Officers' fees	40		435					
911 surcharges								
Treasurer's commission								
Collector's commission								
Other				20,067	150	2,339		
TOTAL REVENUES	49	15,391	437	20,377	20,466	278,650	280	1,521,172
Less: Treasurer's commission	1		8	272	302	3,793	4	
NET REVENUES	48	15,391	429	20,105	20,164	274,857	276	1,521,172
EXPENDITURES								
Current:								
General government		15,379						
Law enforcement	1,050				22,322	188,262	12,165	
Public safety								
Recreation and culture								
Rural water								
Industrial development								
TOTAL EXPENDITURES	1,050	15,379			22,322	188,262	12,165	
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	(1,002)	12	429	20,105	(2,158)	86,595	(11,889)	1,521,172
OTHER FINANCING SOURCES (USES)								
Sales taxes remitted to Economic Development Corporation								(1,521,172)
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	(1,002)	12	429	20,105	(2,158)	86,595	(11,889)	
FUND BALANCES - JANUARY 1	2,108		288	44,480	18,622	159,187	53,482	
FUND BALANCES - DECEMBER 31	\$ 1,106	\$ 12	\$ 717	\$ 64,585	\$ 16,464	\$ 245,782	\$ 41,593	\$ 0

CLARK COUNTY, ARKANSAS
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2014

Schedule 2

	SPECIAL REVENUE FUNDS							
	Office of Emergency Services	Antoine Hardwoods	Public Safety	Alpine Fire Department	Beirne Fire Department	Curtis Fire Department	DeGray Fire Department	East Clark County Fire Department
REVENUES								
State aid				\$ 32,454	\$ 7,454	\$ 7,454	\$ 12,454	\$ 7,454
Federal aid		\$ 15,257						
Property taxes								
Sales taxes								
Fines, forfeitures, and costs			\$ 413					
Interest	\$ 299		1					
Officers' fees								
911 surcharges								
Treasurer's commission								
Collector's commission								
Other				1,000				1,250
TOTAL REVENUES	299	15,257	414	33,454	7,454	7,454	12,454	8,704
Less: Treasurer's commission			6					
NET REVENUES	299	15,257	408	33,454	7,454	7,454	12,454	8,704
EXPENDITURES								
Current:								
General government								
Law enforcement								
Public safety	24,774			29,736	7,454	7,454	12,454	8,704
Recreation and culture								
Rural water								
Industrial development		15,256						
TOTAL EXPENDITURES	24,774	15,256		29,736	7,454	7,454	12,454	8,704
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	(24,475)	1	408	3,718				
OTHER FINANCING SOURCES (USES)								
Sales taxes remitted to Economic Development Corporation								
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	(24,475)	1	408	3,718				
FUND BALANCES - JANUARY 1	55,251		16					
FUND BALANCES - DECEMBER 31	\$ 30,776	\$ 1	\$ 424	\$ 3,718	\$ 0	\$ 0	\$ 0	\$ 0

CLARK COUNTY, ARKANSAS
 COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
 REGULATORY BASIS
 FOR THE YEAR ENDED DECEMBER 31, 2014

Schedule 2

	SPECIAL REVENUE FUNDS							
	Hollywood Fire Department	Kansas Fire Department	Hillstern Farms Grant	Gum Springs Water Grant	Automated Records Systems Grant	Caddo Valley Fire Department	Treasurer's Commissary	Fire Equipment Training
REVENUES								
State aid	\$ 7,454	\$ 7,454						\$ 11,713
Federal aid			\$ 1,055,177	\$ 157,606				
Property taxes								
Sales taxes								
Fines, forfeitures, and costs								
Interest								
Officers' fees								
911 surcharges								
Treasurer's commission								
Collector's commission								
Other					\$ 32,888	\$ 1,250	\$ 1,868	
TOTAL REVENUES	7,454	7,454	1,055,177	157,606	32,888	1,250	1,868	11,713
Less: Treasurer's commission								
NET REVENUES	7,454	7,454	1,055,177	157,606	32,888	1,250	1,868	11,713
EXPENDITURES								
Current:								
General government					18,725			
Law enforcement								
Public safety	7,454	7,454				1,250		
Recreation and culture								
Rural water				157,606				
Industrial development			1,055,177					
TOTAL EXPENDITURES	7,454	7,454	1,055,177	157,606	18,725	1,250		
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES					14,163		1,868	11,713
OTHER FINANCING SOURCES (USES)								
Sales taxes remitted to Economic Development Corporation								
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES					14,163		1,868	11,713
FUND BALANCES - JANUARY 1								
FUND BALANCES - DECEMBER 31	\$ 0	\$ 0	\$ 0	\$ 0	\$ 14,163	\$ 0	\$ 1,868	\$ 11,713

CLARK COUNTY, ARKANSAS
COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - OTHER FUNDS IN THE AGGREGATE -
REGULATORY BASIS
FOR THE YEAR ENDED DECEMBER 31, 2014

Schedule 2

	SPECIAL REVENUE FUNDS		CAPITAL PROJECTS FUND	
	Clark County SWAT Grant	Communication Facility and Equipment	Jail Construction	Totals
REVENUES				
State aid				\$ 182,902
Federal aid				1,228,040
Property taxes				481,815
Sales taxes				1,521,172
Fines, forfeitures, and costs				179,182
Interest		\$ 26	\$ 2,522	15,407
Officers' fees		2,738		111,212
911 surcharges				297,306
Treasurer's commission				20,190
Collector's commission				50,766
Other	\$ 2,000	7,310		80,019
TOTAL REVENUES	2,000	10,074	2,522	4,168,011
Less: Treasurer's commission				15,336
NET REVENUES	2,000	10,074	2,522	4,152,675
EXPENDITURES				
Current:				
General government				185,945
Law enforcement	1,999	5,420		423,186
Public safety				473,080
Recreation and culture				279,882
Rural water				157,606
Industrial development				1,070,433
TOTAL EXPENDITURES	1,999	5,420		2,590,132
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	1	4,654	2,522	1,562,543
OTHER FINANCING SOURCES (USES)				
Sales taxes remitted to Economic Development Corporation				(1,521,172)
EXCESS OF REVENUES AND OTHER SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	1	4,654	2,522	41,371
FUND BALANCES - JANUARY 1		18,243	469,610	2,827,196
FUND BALANCES - DECEMBER 31	\$ 1	\$ 22,897	\$ 472,132	\$ 2,868,567

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
DECEMBER 31, 2014

The following funds and descriptions represent all funds reported as other funds in the aggregate.

Fund Name	Fund Description
Treasurer's Automation	Ark. Code Ann. § 21-6-302 established fund to receive up to 10% of Treasurer's gross commissions to operate the Treasurer's office and to purchase, maintain, and operate an automated accounting and record keeping system.
Collector's Automation	Ark. Code Ann. § 21-6-305 established fund to receive up to 10% of Collector's gross commissions to operate the Collector's office and to purchase, maintain, and operate an automated record keeping system.
Circuit Court Automation	Ark. Code Ann. § 16-13-704 established fund to receive Circuit Court installment fees to be used for Circuit Court-related technology and to defray the cost of fine collection.
District Court Automation	Ark. Code Ann. § 16-13-704 established fund to receive District Court installment fees to be used solely for District Court-related technology.
Assessor's Amendment no.79	Ark. Code Ann. § 26-26-310 provides that 1% of the County's share of surplus funds from the Property Tax Relief Trust Fund be allocated to county assessors for the costs of administering Arkansas Constitution, Amendment no. 79.
County Clerk's Cost	Ark. Code Ann. §§ 21-6-413, 16-20-407 established fund to receive at least 35% of fees collected by county clerks to be used to purchase, maintain, and operate an automated records system, and to account for a \$2 marriage license fee to be used for operation of the County Clerk's office.
County Recorder's Cost	Ark. Code Ann. § 21-6-306 established fund to receive at least 25% of the fees collected by circuit clerks to be used to purchase, maintain, and operate automated records system.
County Public Library	Ark. Code Ann. § 13-2-404 established fund to account for property tax millage levied by the Quorum Court for the support, operation, and maintenance of the public library.
Support Collection Cost	Ark. Code Ann. § 9-10-109 established fund to receive fees to offset administrative costs in the Clerk's office.
Breathalyzer	Ark. Code Ann. § 16-10-307 established the County Administration of Justice Fund which continued to finance this fund used for the acquisition and operation of intoxication detection equipment.
District Court Jail Fee	Ark. Code Ann. § 12-41-505 established fund to receive a \$20 booking and administration fee assessed on persons convicted of a felony or Class A misdemeanor to be used exclusively for the maintenance, operation, and capital expenditures of a county jail or regional detention facility. Clark County Ordinance no. 2009-2 (June 9, 2009) (pursuant to Ark. Code Ann. § 16-17-129) levies an additional fine, not exceed \$20. Funds shall be used exclusively to defray the cost of incarcerating county prisoners; construction, maintenance, and operation of the county jail; purchase and maintenance of jail equipment; and training, salaries, and certificate pay for jailers and deputy sheriffs.

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
DECEMBER 31, 2014

The following funds and descriptions represent all funds reported as other funds in the aggregate.

Fund Name	Fund Description
Boating Safety	Ark. Code Ann. § 27-101-111 established fund to receive fees to be used for operating a patrol on the waterways within a county or for emergency rescue services if the county has not established a patrol.
CMRS 911 Board (Commercial Mobile Radio Service)	Ark. Code Ann. § 12-10-318 established fund to receive fees collected by commercial mobile radio service providers for 911 emergency services.
Victim/Witness	Ark. Code Ann. § 16-21-151 established fund to receive District Court costs levied to be used by Prosecuting Attorney for operating victim/witness program.
Public Defender	Ark. Code Ann. § 16-10-307 established the County Administration of Justice Fund which continued to finance this fund used for defense of indigents. Ark. Code Ann. § 17-19-301 authorized a bail bond fee of \$20 to be collected, which shall all be remitted to the Arkansas Public Defender Commission. Three dollars of each fee is remitted back to the county quarterly to be used to defray the operating expenses of the public defender office.
Drug Court	Ark. Code Ann. § 16-98-304 established fund to receive program user fees set by Drug Court Judges to be used for the benefit and administration of the Drug Court program.
Juvenile Probation	Ark. Code Ann. §§ 16-13-326, 9-27-367 established fund to receive juvenile fees, court costs, and fines to provide services and supplies to juveniles at the discretion of the Juvenile Division of Circuit Court.
Voting System Grant	Ark. Code Ann. § 19-5-1247 and Clark County Ordinance no. 2013-5 (August 13, 2013) established fund to receive grants from the County Voting System Grant Fund to purchase voting system equipment, programming, and maintenance.
Circuit Clerk Commissioner's Fee	Ark. Code Ann. § 21-6-412 established fund to receive fee awarded, when appointed as Commissioner, for a sale of real or personal property under judicial decree. The funds are to be used to offset administrative costs associated with the performance of the Commissioner's duties and for general operations expenses of the office of Circuit Clerk.
Clark County Marina	Clark County Ordinance no. 2007-12 (September 11, 2007) established fund to receive a percentage of revenues from the sub-lease of property on DeGray Lake to be used for continued development of the public use areas on DeGray Lake as required by the Army Corp of Engineers.
District Court Cost	Ark. Code Ann. § 16-17-126 authorizes District Court filing fees for writs of garnishment and executions to be appropriated for any permissible use in the administration of the District Court.
Jail Maintenance	Clark County Ordinance no. 2009-6 (September 14, 2009) established fund to receive revenue collections from general purpose property tax. Expenditures are limited to maintenance of the jail.

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
DECEMBER 31, 2014

The following funds and descriptions represent all funds reported as other funds in the aggregate.

Fund Name	Fund Description
Juvenile Work Supervision	Clark County Ordinance no. 2009-3 (October 15, 2009) established fund to receive Ross Foundation grant funds for reimbursable expenditures for supervision of juvenile probation program.
Economic Development Corporation of Clark County (EDCCC)	Established to receive and remit a one-half cent sales and use tax to EDCCC to be used solely for economic development. The sales tax was approved by voters on June 12, 2007 for a period of seven years, and subsequently, on March 11, 2014 for an additional seven year period.
Office of Emergency Services	Established to receive federal and state aid to be used for occurrence of a major emergency or disaster.
Antoine Hardwoods	Clark County Ordinance no. 2013-5 (August 13, 2013) established fund to receive Arkansas Economic Development Commission grant funding for industrial site improvements of Antoine Hardwoods, industrial manufacturer in Clark County.
Public Safety	Ark. Code Ann. § 27-34-108 established fund to receive 25% of the District Court fines collected for violations of the Child Passenger Protection Act to be used solely for promotion of public safety.
Alpine Fire Department	Ark. Code Ann. § 14-284-403 requires fire protection premium tax funds to be distributed by the county to local fire districts for equipment, training, capital improvements, insurance for buildings, utility costs, or other expenditures necessary for upgrading fire service.
Beirne Fire Department	Ark. Code Ann. § 14-284-403 requires fire protection premium tax funds to be distributed by the county to local fire districts for equipment, training, capital improvements, insurance for buildings, utility costs, or other expenditures necessary for upgrading fire service.
Curtis Fire Department	Ark. Code Ann. § 14-284-403 requires fire protection premium tax funds to be distributed by the county to local fire districts for equipment, training, capital improvements, insurance for buildings, utility costs, or other expenditures necessary for upgrading fire service.
DeGray Fire Department	Ark. Code Ann. § 14-284-403 requires fire protection premium tax funds to be distributed by the county to local fire districts for equipment, training, capital improvements, insurance for buildings, utility costs, or other expenditures necessary for upgrading fire service.
East Clark County Fire Department	Ark. Code Ann. § 14-284-403 requires fire protection premium tax funds to be distributed by the county to local fire districts for equipment, training, capital improvements, insurance for buildings, utility costs, or other expenditures necessary for upgrading fire service.

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
DECEMBER 31, 2014

The following funds and descriptions represent all funds reported as other funds in the aggregate.

Fund Name	Fund Description
Hollywood Fire Department	Ark. Code Ann. § 14-284-403 requires fire protection premium tax funds to be distributed by the county to local fire districts for equipment, training, capital improvements, insurance for buildings, utility costs, or other expenditures necessary for upgrading fire service.
Kansas Fire Department	Ark. Code Ann. § 14-284-403 requires fire protection premium tax funds to be distributed by the county to local fire districts for equipment, training, capital improvements, insurance for buildings, utility costs, or other expenditures necessary for upgrading fire service.
Hillstern Farms Grant	Clark County Ordinance no. 2013-12 (November 12, 2013) and Ordinance no. 2014-05 (May 12, 2014) established fund to receive funding from the U. S. Department of Housing and Urban Development through the Arkansas Economic Development Commission to assist with equipment purchases in support of the location of Hillstern Farms.
Gum Springs Water Grant	Clark County Ordinance no. 2013-12 (November 12, 2013) established fund to receive funding from the U. S. Department of Housing and Urban Development through the Arkansas Natural Resources Commission to extend the existing Gum Springs water system.
Automated Records Systems Grant	Clark County Ordinance no. 2014-10 (November 14, 2014) established fund to receive funding from the Automated Records Systems Fund Program managed by the Association of Arkansas Counties for hardware and software purchases to upgrade and enhance the County's automated records system.
Caddo Valley Fire Department	Ark. Code Ann. § 14-284-403 requires fire protection premium tax funds to be distributed by the county to local fire districts for equipment, training, capital improvements, insurance for buildings, utility costs, or other expenditures necessary for upgrading fire service.
Treasurer's Commissary	Clark County Ordinance no. 2015-1 (February 3, 2015) established to receive funds remitted from the Sheriff's commissary bank account for proceeds collected from commissary sales to jail inmates. Disbursements issued for all expenditures maintaining the Sheriff's commissary.
Fire Equipment Training	Ark. Code Ann. § 14-284-403 requires fire protection premium tax funds to be distributed by the county to local fire districts for equipment, training, capital improvements, insurance for buildings, utility costs, or other expenditures necessary for upgrading fire service.
Clark County SWAT Grant	Clark County Sheriff's office received a grant from Wal-Mart for the purpose of law enforcement expenditures for the Clark County Special Response Team.

CLARK COUNTY, ARKANSAS
NOTES TO SCHEDULES 1 AND 2
DECEMBER 31, 2014

The following funds and descriptions represent all funds reported as other funds in the aggregate.

<u>Fund Name</u>	<u>Fund Description</u>
Communication Facility and Equipment	Ark. Code Ann. §§ 21-6-307, 12-41-105 established fund to receive 25% of sheriff's fees collected and phone commission funds to be used for communications equipment and repair and to train operations staff.
Jail Construction	Clark County Ordinance no. 2005-01 (February 15, 2005) established fund with revenues from the sale of General Revenue promissory notes to be used for the expansion of current jail facilities or construction of a new jail.

Treasurer's accounts consist primarily of commissions and property taxes not yet distributed to appropriate entities.

Collector's accounts consist primarily of delinquent taxes not yet distributed to the various taxing units.

Sheriff's accounts consist primarily of fees settlement, bond, evidence, and inmate trust money.

County Clerk's accounts consist of trust money awaiting disposition by the applicable court.

Circuit Clerk's accounts consist of trust money awaiting disposition by the applicable court and settlements due to Treasurer.

County Judge's account consists of sanitation fees collected but not yet settled with the Treasurer.

CLARK COUNTY, ARKANSAS
OTHER INFORMATION
SCHEDULE OF CAPITAL ASSETS
DECEMBER 31, 2014
(Unaudited)

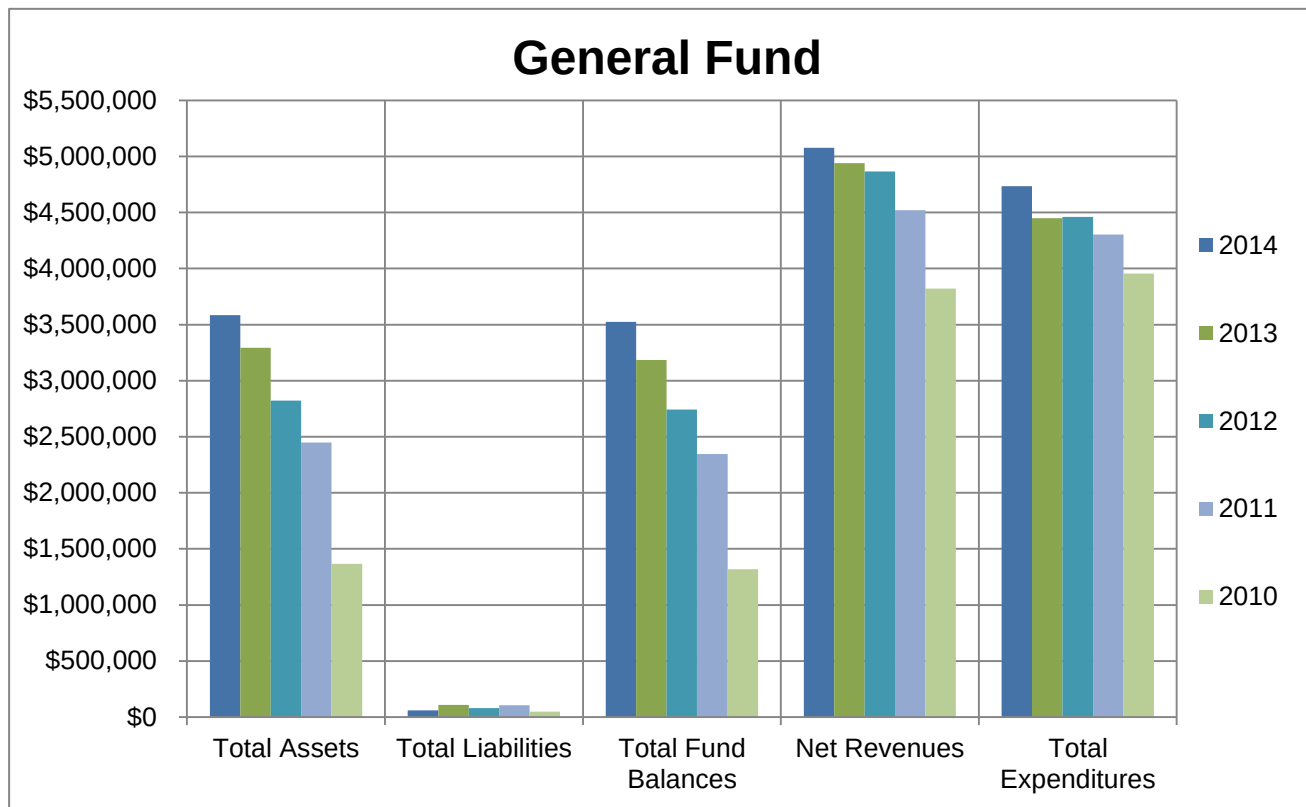
Schedule 3

	December 31, 2014
Land	\$ 523,084
Buildings	6,671,146
Infrastructure	338,017
Improvements	165,685
Equipment	<u>8,725,648</u>
Total	<u>\$ 16,423,580</u>

CLARK COUNTY, ARKANSAS
SCHEDULE OF SELECTED INFORMATION FOR THE LAST FIVE YEARS - GENERAL FUND - REGULATORY BASIS
DECEMBER 31, 2014
(Unaudited)

Schedule 4-1

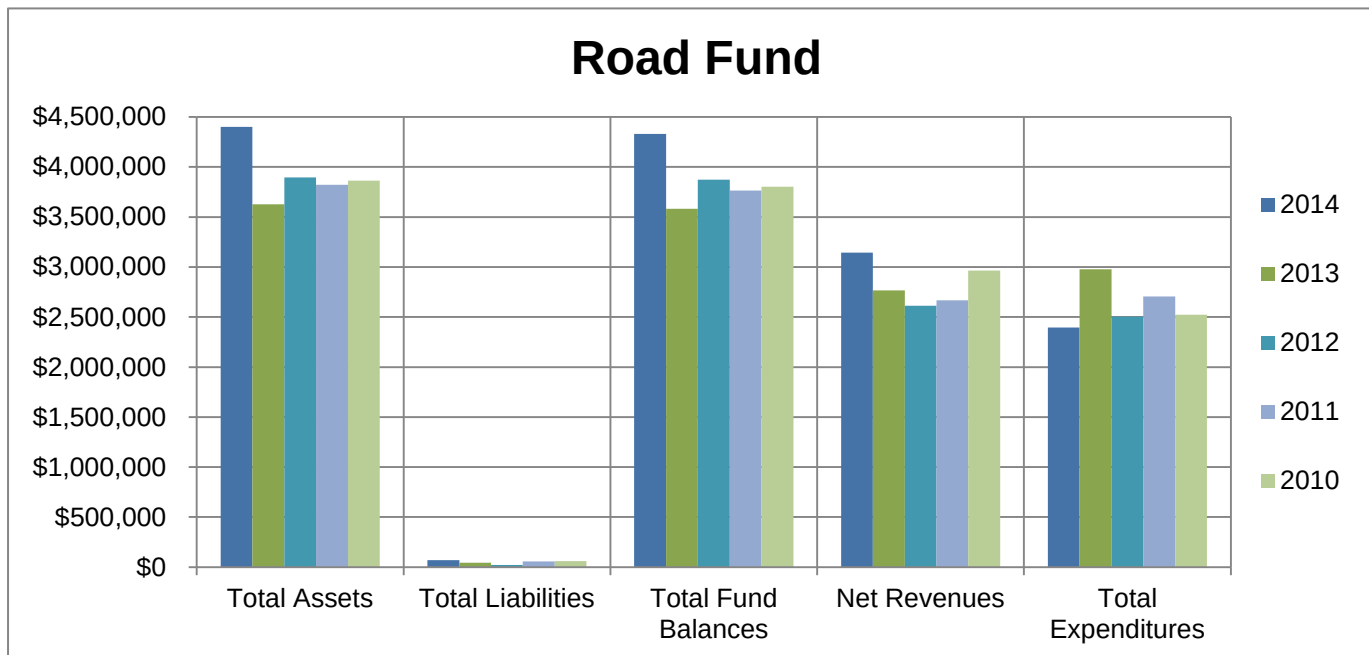
<u>General</u>	<u>2014</u>	<u>2013</u>	<u>2012</u>	<u>2011</u>	<u>2010</u>
Total Assets	\$ 3,585,598	\$ 3,293,574	\$ 2,823,262	\$ 2,449,768	\$ 1,367,377
Total Liabilities	60,967	109,122	80,767	103,946	49,583
Total Fund Balances	3,524,631	3,184,452	2,742,495	2,345,822	1,317,794
Net Revenues	5,076,316	4,941,614	4,864,864	4,520,284	3,820,661
Total Expenditures	4,736,137	4,449,567	4,461,579	4,303,994	3,954,212
Total Other Financing Sources/Uses		23,597	(6,612)	21,320	1,162



CLARK COUNTY, ARKANSAS
SCHEDULE OF SELECTED INFORMATION FOR THE LAST FIVE YEARS - ROAD FUND - REGULATORY BASIS
DECEMBER 31, 2014
(Unaudited)

Schedule 4-2

<u>Road</u>	2014	2013	2012	2011	2010
Total Assets	\$ 4,400,341	\$ 3,626,844	\$ 3,896,342	\$ 3,823,716	\$ 3,865,134
Total Liabilities	70,032	45,257	22,040	57,775	60,657
Total Fund Balances	4,330,309	3,581,587	3,874,302	3,765,941	3,804,477
Net Revenues	3,142,664	2,767,584	2,613,164	2,667,347	2,965,520
Total Expenditures	2,393,942	2,979,195	2,504,803	2,705,883	2,524,205
Total Other Financing Sources/Uses					



CLARK COUNTY, ARKANSAS
SCHEDULE OF SELECTED INFORMATION FOR THE LAST FIVE YEARS - OTHER FUNDS IN THE AGGREGATE - REGULATORY BASIS
DECEMBER 31, 2014
(Unaudited)

Schedule 4-3

<u>Other Funds in the Aggregate</u>	2014	2013	2012	2011	2010
Total Assets	\$ 4,019,540	\$ 3,904,921	\$ 4,318,936	\$ 4,379,908	\$ 4,947,443
Total Liabilities	1,150,973	1,077,725	1,377,771	1,053,510	858,338
Total Fund Balances	2,868,567	2,827,196	2,941,165	3,326,398	4,089,105
Net Revenues	4,152,675	2,849,340	2,590,201	1,749,619	2,129,710
Total Expenditures	2,590,132	1,443,134	1,515,333	1,707,999	1,719,496
Total Other Financing Sources/Uses	(1,521,172)	(1,522,585)	(1,454,659)	(21,320)	(1,162)

